3. **Easy Settlement of Accounts:** Audited accounts ensure easy settlement of accounts and valuation of goodwill on admission, retirement or death of a partner. Audit of accounts is advisable to avoid any financial dispute among the partners.
4. **Grant of Loans and Advances:** Firm can obtain easily loans and advances from various financial institutions based on audited accounts.
5. **Taxation Purpose:** The firm can use audited accounts for the purpose of taxation or for improvements in operations.

3.4 Audit of Accounts of Joint Stock Company

Companies formed and registered under the Companies Act, 1956 have to compulsorily audit its books of accounts as the owners (shareholders) and the management of the company is different. The company auditor's rights, duties, appointment, remuneration etc. are governed by the provisions of the Companies Act. This type of audit is called as Statutory Audit and the person who conducts the audit is called as Statutory Auditor.

The main objective of external or statutory audit is to examine the accuracy that the financial statements reflect a true and fair view of the state of affairs of the business. In other words, the company auditor has to verify that the books of accounts and certify that the books of accounts and financial statements exhibit a true and fair view of the state of affairs of the business concern in the form of a report to the shareholders of the company.



3.4.1 Characteristics or Features

1. The main objective of external or statutory audit is to examine the accuracy that the financial statements reflect a true and fair view of the state of affairs of the business.
2. The scope of work is determined by the Companies Act and the auditor possesses an independent status and the management has no control over the auditor.
3. Auditor should be a qualified Chartered Accountant as laid down in the provisions of the Companies Act.
4. Statutory auditor is appointed and removed by the shareholders of the company.
5. The powers and duties of statutory audit are determined by the Companies Act.
6. Statutory or Company auditor is liable both to shareholders and to the third parties.
7. After audit of accounts of a company, auditor has to submit a audit report to the shareholders at annual general meeting in prescribed format.
8. Company or statutory auditor is responsible to shareholders and acts as a watch-dog for the shareholders.

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